BANKING OFFENCE AND PUNISHMENT ACT, 2064 (2008)

Act No. 35 of the year 2064

(Unofficial Translation)

	Particulars	**Date (BS)**
	Date of Authentication and Publication	2064.10.23
	Acts amending this Act:	
1	Banking Offence and Punishment (First Amendment) Act, 2073	2073.06.18
2	Act Amending Some Nepal Acts relating to Muluki Code, 2075	2076.01.02
3	Banking Offence and Punishment (Second Amendment) Act, 2082	2082.01.24

An Act Made to Provide for Banking Offence and Punishment

Preamble: [1]Whereas, it is expedient to make legal provisions relating to banking offences and punishment in order to enhance credibility towards the banking and financial system by minimizing the effect and risk on the banking and financial system from offending acts that may occur in the transactions of the banking and financial system;

Now, therefore, be it enacted by the Legislature-Parliament.

[1]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.

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Chapter-1
Preliminary

1. Short title, extent and commencement:–

(1) This Act may be called the "Banking Offence and Punishment Act, 2064".

(2) This Act shall extend throughout Nepal, and shall also apply to any person or institution residing abroad who commits a banking offence in Nepal.

(3) This Act shall come into force immediately.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Bank" means an institution licensed by the Nepal Rastra Bank to carry on financial transactions of class "A" under the prevailing law.

(b) "Banking offence" means an offence under Chapter-2.

(c) "Financial institution" means an institution licensed by the Nepal Rastra Bank to carry on financial transactions of class "B", "C" and "D" under the prevailing law.

(d) "Institution" means a firm or company that may open an account in a bank, financial institution or cooperative bank under the prevailing law, and this term also includes any other corporate body or agency established under the prevailing law.

(e) "Borrower" means a person, firm, company or corporate body established under the prevailing law that takes a loan from a bank, financial institution or cooperative bank, and this term also includes a person who stands as guarantor.

(f) [2]"Cooperative bank" means a cooperative bank formed under Section 12 of the Cooperatives Act, 2074.

(g) "Dhukuti transaction" means a transaction made by collecting money among one another and taking or giving the money [3]in turn on the basis of mutual consent.

(h) "Financial system" means the overall financial system including banks, financial institutions or cooperative banks established [4]under law and operating to carry on any banking or financial transaction, [5]....., institutions carrying on financial intermediation business, institutions carrying on transactions in securities, services and commodity exchange, institutions carrying on insurance and security-related transactions, and institutions carrying on transactions by establishing collective funds, and the services provided by such institutions, and the payment and settlement system.

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[2]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[3]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[4]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[5]Omitted by the Banking Offence and Punishment (Second Amendment) Act, 2082.

(i) "Authorized person" means a person or official [6]having the power to make the final decision in the course of any work or transaction.

(j) "Family member" means the husband, wife, son, daughter, adopted son, adopted daughter, father, mother or step-mother living in a joint family with [7]the founder, director, shareholder deemed to have a financial interest under the prevailing law, chief executive officer, employee, managing agent or related person of a bank, financial institution or cooperative bank, and this term also includes the elder brother, younger brother, elder sister and younger sister whom one has to support and maintain.

(k) [8]"Cheque" means a negotiable instrument under the prevailing law drawn on a bank, financial institution or cooperative bank, to be paid on demand.

(l) [9]"Dishonour of cheque" means the situation certified by a bank, financial institution or cooperative bank under sub-section (5) of Section 3A that payment cannot be made to the holder by reason of the required amount not being available in the account of the account holder when payment of the amount mentioned in the cheque issued by him or her is demanded.

(m) [10]"Holder" means a person or institution that has received a cheque issued in his, her or its name and has the right to receive payment of the amount mentioned in such cheque.

Chapter-2
Banking Offences

3. Not to open account or demand payment in an unauthorized manner:–

No one shall do the following acts while opening an account in, or demanding payment of money from, a bank, financial institution or cooperative bank:-

(a) [11]Opening an account by submitting fake documents, or knowingly opening an account for a person who is opening an account by submitting such documents, or depositing or causing to be deposited money in such account, or withdrawing money from such account, or assisting in such act, or withdrawing money by using an electronic card or device after so opening an account,

(b) Opening an account, or causing an account to be opened, in the name of another person or institution, [12]..... except in accordance with law,

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[6]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[7]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[8]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[9]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[10]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[11]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.
[12]Omitted by the Banking Offence and Punishment (Second Amendment) Act, 2082.

(c) [13].....

3A. Not to issue cheque without balance[14]:–

(1) No one shall issue a cheque to anyone where there is no balance in his or her account, or where the balance, even if available, is insufficient for payment, or demand payment of such cheque from a bank, financial institution or cooperative bank.

(2) If, upon examining a cheque presented to it for payment and matching it with the account of the concerned person or institution, the amount required for the payment of such cheque does not appear to be available in the account, the bank, financial institution or cooperative bank shall return such cheque to the holder.

(3) If the holder wishes to have the cheque returned under sub-section (2) certified as dishonoured, the bank, financial institution or cooperative bank shall give notice to the concerned account holder, through any medium, to deposit the required amount in his or her account within a maximum period of forty-five days from the date of submission of the cheque by the holder to it, and keep a record thereof.

(4) After keeping the record of the notice given to the account holder under sub-section (3), the bank, financial institution or cooperative bank shall also mention that matter on the cheque and return such cheque to the holder.

(5) If, after the expiry of the period specified under sub-section (3), payment of the amount mentioned in the cheque returned under sub-section (4) cannot be made when demanded by the holder, by reason of the required amount not being available in the account, the bank, financial institution or cooperative bank shall, within three days, certify that the concerned account holder has dishonoured the cheque and return such cheque to the holder.

(6) Notwithstanding anything contained elsewhere in this Section, where notice has been given to the account holder under sub-section (3), the account holder may, at any time, pay the amount mentioned in such cheque to the holder and take back the cheque.

(7) The procedure for certifying the dishonour of a cheque under this Section shall be as determined by the Nepal Rastra Bank.

4. [15].....:–

5. Not to withdraw money or make payment in an unauthorized manner:–

No one shall do the following acts while withdrawing money from, or making payment out of, an account in a bank, financial institution or cooperative bank:-

(a) Withdrawing money from the account of another person in an unauthorized manner,

[13]Omitted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[14]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[15]Repealed by the Banking Offence and Punishment (First Amendment) Act, 2073.

(b) [16].....,

(c) Transferring money from the account of a customer, or making cash payment therefrom, in an unauthorized manner,

(d) [17].....

6. Not to take or make payment by misusing or making unauthorized use of electronic means:–

No one shall take or make payment by misusing, or making unauthorized use of, a credit card, debit card, automated teller machine (ATM) card or other electronic means.

7. Not to take or give loans in an unauthorized manner:–

No one shall do the following acts while taking a loan from, or giving a loan by, a bank, financial institution or cooperative bank:-

(a) Taking or giving a loan by submitting incorrect, false or non-existent financial statements or by setting up a fictitious business,

(b) Taking or giving a loan by unusually over-valuing the collateral,

(c) Taking or giving a higher loan by unusually increasing the cost of a project on the basis of false statements,

(d) Obtaining or making available loans, facilities or concessions by exceeding the authority or the approved limit obtained by oneself,

(d1) [18]Taking a loan or advance from one's own bank, financial institution or cooperative bank, by the chief executive officer or an employee of such bank, financial institution or cooperative bank, in any manner other than the loan or advance under the employee facilities receivable under the prevailing by-laws relating to employee administration, or the prevailing by-laws relating to employee advances or facilities, of such bank, financial institution or cooperative bank,

(d2) [19]Taking a loan from one's own bank, financial institution or cooperative bank by the founder, director or shareholder deemed to have a financial interest under the prevailing law of such bank, financial institution or cooperative bank, or by a family member of such person,

Provided that the provision mentioned in this clause shall not be deemed to prevent taking a loan against the security of a fixed deposit receipt, gold or government bonds.

[16]Omitted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[17]Omitted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[18]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[19]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.

(e) [20]Taking or giving a loan again by keeping, with another bank, financial institution or cooperative bank, the same security once given to any one bank, financial institution or cooperative bank, without such security having been duly released,

Provided that this restriction shall not apply to giving or taking a loan so as to maintain a second charge (pari passu) under the prevailing law relating to consortium financing to the extent covered by the value of the security.

(f) Taking a loan by causing an institution to be established in the name of a person who does not have the financial standing to operate a business [21]or a person over whom one may exert undue influence, and through such institution, or by setting up a fictitious borrower and through such borrower, or knowingly giving a loan in such a case, or doing or causing to be done the act of taking or giving a loan,

(g) Giving a loan in excess of the requirement in comparison with the transactions of the customer,

(h) Taking or giving any kind of improper benefit in consideration of making a loan facility available,

(i) [22]Taking or making payment of the whole or part of a loan amount by setting up a fictitious borrower, by the founder, director, chief executive officer or person authorized to disburse loans of a bank, financial institution or cooperative bank, with the intention of also using the loan facility oneself,

(j) [23]Disbursing any kind of loan, by the founder, director, chief executive officer or person authorized to disburse loans of a bank, financial institution or cooperative bank, in the name of any person or institution in which he or she has a financial interest.

8. Not to misuse loan:–

No one shall misuse a loan by using it, or causing it to be used, elsewhere, without using it for the purpose for which the loan facility was taken from a bank, financial institution or cooperative bank.

9. Not to misuse banking resources, means and property:–

(1) [24]No founder, director, shareholder deemed to have a financial interest under the prevailing law, chief executive officer, employee, managing agent or related person or institution of a bank, financial institution or cooperative bank, or a family member of such

[20]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.
[21]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[22]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[23]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[24]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.

person, shall misuse the resources and means of the bank, financial institution or cooperative bank by taking facilities from it or in any other manner.

Provided that,-

(1) Nothing shall be deemed to prevent the chief executive officer or an employee of a bank, financial institution or cooperative bank from taking a loan or advance under the employee facilities in accordance with the prevailing law.

(2) Nothing shall prevent giving loans or facilities to a close relative with the approval of the board of directors of the bank, financial institution or cooperative bank.

Explanation: For the purpose of this sub-section,-

(a) "Family member" means the husband or wife, son, daughter, adopted son, adopted daughter, father, mother, step-mother of the concerned person and the elder brother, younger brother, elder sister and younger sister whom one has to support and maintain.

(b) "Close relative" means the elder brother, younger brother, sister-in-law (elder brother's wife), daughter-in-law, married elder sister and younger sister, brother-in-law (sister's husband), son-in-law, nephew, niece, brother-in-law (wife's brother), sister-in-law (wife's sister), mother-in-law, father-in-law, paternal uncle, paternal aunt, maternal uncle, maternal aunt, sister's son, sister's daughter, grandson, granddaughter, grandson's wife and granddaughter's husband, living separately.

(2) No one shall spend, or cause to be spent, the property of a bank, financial institution or cooperative bank so as to be prejudicial to the interest of the depositors or of the bank, financial institution or cooperative bank.

(3) No one shall commit any financial irregularity while auctioning and selling, or carrying out any other transaction in respect of, non-banking assets or other property of a bank, financial institution or cooperative bank.

10. Borrower not to withdraw money or acquire property[25]:–

(1) A borrower who has been blacklisted after exceeding the term of the loan payable to a bank, financial institution or cooperative bank shall not, without repaying the loan payable by him or her, open an account and keep money in a bank, financial institution or cooperative bank situated within the country or abroad, or continue or operate such account, or purchase any movable or immovable property in any other manner, or acquire the right to use such property in any manner.

Provided that,-

[25]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.

(a) Such borrower may open an account for the purpose of repaying the loan, or keep money in the account for up to thirty days, and make payment of the loan by cheque.

(b) The borrower may withdraw money from bank accounts within the country or abroad up to the prescribed amount for the purpose of basic necessary expenses required for daily living.

11. Not to withhold loan or facility so as to cause loss to borrower's ongoing project:–

A bank, financial institution or cooperative bank shall not, after approving a loan or facility for any project of a borrower and providing the first instalment, withhold in the middle the remaining instalment of the loan or facility without sufficient ground and reasonable cause, so as to cause loss to the ongoing project of the borrower.

12. Not to cause loss by committing forgery or fraud by correcting documents or account books:–

No one shall commit forgery, with the intention of causing benefit or loss to oneself or anyone else, by doing acts such as removing or erasing in any manner any matter written in any document or account book of a bank, financial institution or cooperative bank, or writing in such a manner as to give a different meaning, or commit fraud, with the intention of causing loss to another, by making or causing to be made a document by signing or causing to be signed, stating as done or happened a false matter which was not done or did not happen, or altering the date, figure or matter.

12A. Not to carry on transactions by deceiving bank, financial institution or [26]cooperative bank[27]:–

(1) No one shall, by collusion or deceit in respect of the movable or immovable property owned by a bank, financial institution or [28]cooperative bank, or by making, giving or submitting a forged document showing his or her right over property over which he or she has no right, or by deceiving by stating that he or she has a thing which he or she does not have, or by deceiving that a false matter is true, or by deceiving or misleading in any other manner, take, give or cause to be given the movable or immovable property of a bank, financial institution or [29]cooperative bank over which he or she has no right, or, claiming in writing or otherwise that the property of a bank, financial institution or [30]cooperative bank is his or hers or has become his or hers, take, give, sell, deal in or exchange such property, and thereby cause loss to the bank, financial institution or [31]cooperative bank.

[26]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[27]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[28]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[29]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[30]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[31]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.

(2) No one shall, through a false or fraudulent statement, promise or any other means, obtain, encroach upon or take under control cash, funds, securities or other movable or immovable property under the control, protection or ownership of a bank, financial institution or [32]cooperative bank, or assist in implementing such scheme, and thereby cause loss to the bank, financial institution or [33]cooperative bank.

(3) No one shall carry out any transaction with a bank, financial institution or [34]cooperative bank on the basis of a wrong or false statement or promise, or do any act which causes benefit to oneself or anyone else by causing loss in any manner to the bank, financial institution or [35]cooperative bank, by deceiving, misleading or misguiding it with dishonest intention or in order to evade punishment for an offence, by doing any act such as concealing his or her name and stating that such name is not his or hers but of another, or stating that the name of another person is his or hers and that he or she is that person, or knowingly causing another person to say so.

13. Not to make over-valuation, under-valuation or wrong valuation or prepare financial statements[36]:–

(1) The concerned valuer shall not make over-valuation, under-valuation or wrong valuation while valuing movable or immovable property to be kept with a bank, financial institution or cooperative bank as collateral for a loan, or movable or immovable property of a bank, financial institution or cooperative bank held as non-banking assets, for auction sale or any other purpose of the bank, financial institution or cooperative bank.

(2) A valuer shall not value the property of any person or institution in which he or she has a financial interest.

(3) No person, firm, company or institution shall prepare, or cause to be prepared, separate financial statements of the same date or period for the purpose of obtaining a loan or facility from a bank, financial institution or cooperative bank.

(4) An auditor shall not certify the financial statements of the same date or period of any person or institution to be submitted to the Nepal Government, a foreign donor agency or another body so that the financial statements differ, without disclosing his or her opinion and the matter.

14. Not to carry on, or cause to be carried on, irregular economic and financial transactions:–

No one shall, with the intention of causing loss to a bank, financial institution or cooperative bank, cause any work to be done or not to be done, bargain or not bargain, take or give any kind of amount, take or give any goods, commodity or service free of

[32]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[33]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[34]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[35]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[36]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.

cost or at a lower price, take or give donations, charity, gifts or contributions, prepare or cause to be prepared a false document, make or cause to be made a translation, or do or cause to be done any act with mala fide intention of causing illegal benefit or loss.

14A. Not to carry on Dhukuti transactions:–

No one shall carry on, or cause to be carried on, Dhukuti transactions.

14B. Not to carry on banking transactions without approval[37]:–

A cooperative bank shall not carry on, or cause to be carried on, banking transactions without obtaining approval from the Nepal Rastra Bank.

Chapter-3
Punishment

15. Punishment:–

(1) [38]If anyone commits any offence under Section 3, he or she shall be liable to a fine equal to the claimed amount, with the claimed amount recovered where it is ascertained, and imprisonment for up to three months, and if anyone commits any offence under Section 11, he or she shall be liable to a fine equal to the claimed amount, with the claimed amount recovered.

(1a) [39]If the dishonour of a cheque is certified under sub-section (5) of Section 3A, the account holder issuing the cheque shall be caused to pay to the holder the amount equal to the claimed amount and interest on such amount under the prevailing law from the date of issuance of the cheque to the date of payment, and shall be liable to a fine of five percent of the claimed amount and imprisonment as follows:-

(a) Imprisonment for up to one month, if the claimed amount is up to fifteen lakh rupees,

(b) Imprisonment from one month to three months, if the claimed amount exceeds fifteen lakh rupees and is up to fifty lakh rupees,

(c) Imprisonment from three months to one year, if the claimed amount exceeds fifty lakh rupees and is up to one crore rupees,

(d) Imprisonment from one year to two years, if the claimed amount exceeds one crore rupees and is up to ten crore rupees,

(e) Imprisonment from two years to four years, if the claimed amount exceeds ten crore rupees, whatever the amount may be.

(2) [40]If anyone does any act under Section 5, 6, clauses (d), (d1), (d2), (e), (f), (g), (h), (i) and (j) of Section 7, or Section 8, 9, 10, 12 or 14, he or she shall be liable, according to

[37]Amended by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[38]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.
[39]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[40]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.

the degree of the offence, to the following imprisonment where the claimed amount related to such offence is as follows, and to a fine equal to the claimed amount, with the claimed amount recovered:-

(a) Imprisonment for up to one year, if the claimed amount is up to ten lakh rupees,

(b) Imprisonment from two years to three years, if the claimed amount exceeds ten lakh rupees and is up to fifty lakh rupees,

(c) Imprisonment from three years to four years, if the claimed amount exceeds fifty lakh rupees and is up to one crore rupees,

(d) Imprisonment from four years to six years, if the claimed amount exceeds one crore rupees and is up to ten crore rupees,

(e) Imprisonment from six years to eight years, if the claimed amount exceeds ten crore rupees and is up to fifty crore rupees,

(f) Imprisonment from eight years to ten years, if the claimed amount exceeds fifty crore rupees and is up to one arba rupees,

(g) Imprisonment from ten years to twelve years, if the claimed amount exceeds one arba rupees, whatever the amount may be.

(3) [41]The following punishment shall be imposed for the following offences:-

(a) If anyone commits an offence under clause (a), (b) or (c) of Section 7 or Section 13, he or she shall be liable to a fine equal to the claimed amount, with the claimed amount recovered, and imprisonment for up to four years.

(b) If anyone commits an offence under Section 12A, 14A or 14B, he or she shall be liable, according to the degree of the offence, to the following imprisonment where the claimed amount related to such offence is as follows, and to a fine equal to the claimed amount, with the claimed amount recovered:-

(1) Imprisonment from one year to three years, if the claimed amount is up to fifty lakh rupees,

(2) Imprisonment from three years to five years, if the claimed amount is from fifty lakh rupees to five crore rupees,

(3) Imprisonment from five years to seven years, if the claimed amount is from five crore rupees to fifty crore rupees,

(4) Imprisonment from seven years to nine years, if the claimed amount exceeds fifty crore rupees, whatever the amount may be.

[41]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.

(5) Where it is not possible to determine the claimed amount by confiscating the claimed amount under this Section, the offender shall be liable, according to the degree of the offence, to a fine of up to ten lakh rupees and imprisonment for up to two years.

(6) Where any institution has committed an offence under this Act, the office-bearer or employee committing such offence shall be responsible if identified, and, if he or she cannot be identified, the person working in the capacity of the office chief of such institution at the time of commission of the offence shall be responsible.

(6) [42]A person or institution attempting to commit a banking offence, or indirectly involved in or abetting such offence, shall be liable to half of the punishment imposable on the offender.

(7) If an institution attempts to commit a banking offence or is indirectly involved in or [43]abets such offence, the chief executive, office-bearer or person performing functions in an executive capacity of such institution shall be liable to punishment under this Act.

(8) [44]If the person committing an offence under Section 3, [45]3A, 5, 6, 7, 8, 9, 10, 11, 12, 12A, 13, 14, 14A and 14B is the chairperson, director or chief executive officer of the concerned institution, he or she shall be liable to an additional one year of imprisonment in addition to the punishment imposable under this Act.

16. Punishment for obstruction:–

If anyone obstructs the activities relating to investigation and inquiry under this Act, the adjudicating authority may, on the basis of the report of the investigating and inquiring authority, impose on him or her imprisonment for up to six months, or a fine of up to five thousand rupees, or both.

Chapter-4
Proceedings and Disposal of Cases

17. Period for filing complaint and limitation:–

(1) A complaint relating to an offence under this Act may be filed within one year from the date of knowledge of the commission of such offence, and a case shall be filed before the court specified by the Nepal Government by publishing a notice in the Nepal Gazette[46] within six months from the date of filing of such complaint.

(1a) [47]Notwithstanding anything contained in sub-section (1), a complaint relating to an offence under Section 3A may be filed within one year from the date of certification

[42]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.
[43]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[44]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[45]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[46]To be heard by the concerned Commercial Bench (Nepal Gazette 2066.4.5, No. 14).
[47]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.

of the dishonour of the cheque, and a case shall be filed before the concerned District Court within six months from the date of filing of such complaint.

(2) Notwithstanding anything contained in sub-section (1), a case may be filed at any time against an employee or office-bearer of a bank, financial institution or cooperative bank in respect of a banking offence committed by misappropriating, or causing loss to, the property of the bank, financial institution or cooperative bank while he or she held any office, and nothing shall prevent filing a case even after such employee or office-bearer has retired from his or her office.

18. Government to be plaintiff:–

The Nepal Government shall be the plaintiff in cases punishable under this Act, and such cases shall be deemed to have been included in [48]Schedule-1 of the Muluki Criminal Procedure Code, 2074.

19. Proceedings may be carried out by keeping in detention:–

(1) Notwithstanding anything contained in the prevailing law, if there exists sufficient reason that any person against whom proceedings have been initiated for an offence under this Act may conceal or destroy any evidence or may obstruct or adversely affect the proceedings of investigation and inquiry, or if there is any reasonable ground to believe from the evidence immediately obtained that any person not permanently residing in Nepal is the offender of a banking offence punishable with imprisonment for six months or more, the investigating and inquiring authority may keep him or her in detention by giving a detention warrant in accordance with the prevailing law.

(2) If the investigation and inquiry in respect of a person detained under sub-section (1) cannot be completed within twenty-four hours and it appears necessary to continue the investigation and inquiry by keeping him or her in detention, the investigating and inquiring authority shall produce him or her before the adjudicating authority and keep him or her in detention only after obtaining permission from the adjudicating authority.

(3) While seeking permission from the adjudicating authority under sub-section (2), the accusation against the detained person, the ground thereof, the reason why it is necessary to carry out the investigation and inquiry by keeping him or her in detention, and the contents of his or her statement, if already recorded, shall be clearly mentioned.

(4) If permission to keep in detention is sought under sub-section (2), the adjudicating authority shall examine the related documents and consider whether or not the investigation and inquiry has been carried out satisfactorily, and if the investigation and inquiry appears to be proceeding satisfactorily, may grant permission to keep in detention,

[48]Amended by the Act Amending Some Nepal Acts relating to Muluki Code, 2075.

at once or from time to time, not exceeding [49]seven days at a time, for up to a maximum of [50]sixty days.

[51]Provided that the period of permission to keep in detention shall not exceed the period of imprisonment imposable under this Act.

19A. Special investigation team may be formed[52]:–

(1) Notwithstanding anything contained in the prevailing law, if it appears appropriate to form an investigation team, including an expert on banking matters, for the investigation of cases relating to banking offences, the Nepal Government may form such team in consultation with the Attorney General, the Inspector General of Police and the Nepal Rastra Bank.

(2) The special investigation team formed under sub-section (1) shall have the same powers as those of the investigating and inquiring authority under this Act or the prevailing law.

19B. Details may be demanded[53]:–

(1) If, for the fulfilment of the objectives of this Act, the investigating and inquiring body considers it necessary to obtain or examine any deed, statement of account or other details, and believes that any person or institution has, or may obtain and submit, a deed, statement of account or other details related to the investigation and inquiry, the investigating and inquiring body may request such person or institution to submit such deed, statement of account and other details.

(2) It shall be the duty of the concerned person or institution to make available the deed, statement of account or other details demanded by the investigating and inquiring body under sub-section (1).

Chapter-5
Miscellaneous

20. Cooperation to be extended:–

It shall be the duty of a bank, financial institution or cooperative bank or the concerned person to extend necessary cooperation to the investigating and inquiring authority while carrying out investigation and inquiry in respect of a banking offence under this Act.

21. No action on the ground of breach of confidentiality:–

Notwithstanding anything contained in the prevailing law, if an employee of a bank, financial institution or cooperative bank gives necessary information to proceed with legal

[49]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.
[50]Amended by the Banking Offence and Punishment (First Amendment) Act, 2073.
[51]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.
[52]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.
[53]Inserted by the Banking Offence and Punishment (First Amendment) Act, 2073.

action in a matter where an offence under this Act has been committed or is about to be committed, or to prevent such offence from being committed, no action shall be taken against him or her on the ground of breach of confidentiality under the law relating to his or her conditions of service for the cooperation made or extended by him or her.

22. Provisions relating to service of notice:–

(1) Notwithstanding anything contained in the prevailing law, if a notice is to be served in the name of a foreign person in respect of an offence under this Act, and such person has any kind of office or representative within Nepal, the notice shall be served in the name of such office or representative, and the notice so served shall be deemed to have been duly served.

(2) If there is no office or representative referred to in sub-section (1), the notice shall be served at the main place of business of such person, or the address of his or her permanent residence, or any address given by him or her for correspondence at the time of the transaction, through telex, telefax or other means of telecommunication that can be recorded, or by registered post, and the notice so served shall be deemed to have been duly served.

(3) Notwithstanding anything contained in sub-section (1) or (2), if there is a separate provision in any treaty to which the Nepal Government or Nepal is a party for serving notices in the name of a person residing abroad, this Section shall not be deemed to prevent the service of notice accordingly.

23. Notice to be published:–

If, while sending a notice or serving a summons in the name of any person under this Act or other prevailing law, a report is received that such notice could not be served or such summons could not be served because the address of such person could not be traced or for any other reason, then, notwithstanding anything contained in the prevailing law, a public notice shall be published at least twice in a national level newspaper (in an English daily in the case of a foreigner), giving such person a time limit of thirty days and stating a brief description of the matter, to appear before the investigation or, if a case has already been filed, before the adjudicating authority, and if the notice is so published, such person shall, notwithstanding anything contained in this Act or other prevailing law, be deemed to have been duly given notice or served the summons.

24. Order to freeze property of foreign person:–

(1) If any foreign person who does not appear before the investigating and inquiring authority in accordance with the notice given by such authority or the summons served under Section 22 has any property, right, interest or concern within Nepal, the investigating and inquiring authority may order that such property, right, interest or concern be kept as it is, as specified by the investigating and inquiring authority, or not be

taken out of Nepal, until such person appears before the investigating and inquiring authority, and it shall be the duty of all concerned to comply with such order.

(2) The investigating and inquiring authority may impose a fine of up to one lakh rupees on a person who does not comply with the order referred to in sub-section (1), and if any kind of loss or damage has been caused to the Nepal Government or a public institution by reason of non-compliance with such order, the same shall also be recovered from him or her.

25. No bar to proceedings and disposal of case:–

Notwithstanding anything contained in the prevailing law, there shall be no bar to the proceedings and disposal of a case under this Act even if the accused or defendant dies before or after the filing of the case.

26. Waiver in claim of punishment:–

The investigating and inquiring authority may present an accused who cooperates in the activities of investigation and inquiry under this Act as his or her witness, and give him or her full or partial waiver in the claim of punishment.

Provided that if the cooperation made by him or her is not proved by other evidence, or if he or she gives a statement before the adjudicating authority adverse to the cooperation made to the investigating and inquiring authority, a case may be filed against him or her again, notwithstanding anything contained in this Act or the prevailing law.

26A. Reconciliation may be made[54]:–

(1) Notwithstanding anything contained in the prevailing law, if, in a case relating to the dishonour of a cheque under Section 3A, the defendant pays to the holder the amount mentioned in the cheque and both parties to the case wish to reconcile, they may make an application for reconciliation before the government attorney through the investigating officer if the case is in the course of investigation, and before the court through the government attorney if the case has already been filed in the court.

(2) If an application for reconciliation is made under sub-section (1) while the case is in the course of investigation, the government attorney shall order the concerned investigating officer to cause reconciliation to be made between both parties, record the fact of reconciliation and suspend the investigation relating thereto.

(3) It shall be the duty of the concerned investigating officer to cause reconciliation to be made in accordance with the order given by the government attorney under sub-section (2) and keep a record thereof.

(4) If an application for reconciliation is made under sub-section (1), the concerned court shall cause reconciliation to be made in accordance with the prevailing law. Where

[54]Inserted by the Banking Offence and Punishment (Second Amendment) Act, 2082.

reconciliation has been so made, the defendant shall not be liable to punishment under this Act.

27. Deemed to be disqualified:–

A person who has been sentenced to imprisonment under this Act shall be deemed to be disqualified to work as an employee of a bank or financial institution.

28. To be in accordance with prevailing law:–

Notwithstanding anything contained elsewhere in this Act, if action and punishment are to be taken and imposed under the Commission for the Investigation of Abuse of Authority Act, 2048 and the Prevention of Corruption Act, 2059 in respect of an offence in which a person holding public office or a public servant under the prevailing law is involved, action and punishment shall be taken and imposed under the same Acts.

29. Power to frame Rules:–

The Nepal Government may frame necessary Rules to implement the objectives of this Act.

Note: (1) Words converted by the Act Amending Some Nepal Acts relating to Muluki Code, 2075: "Schedule-1 of the Muluki Criminal Procedure Code, 2074" in place of "Schedule-1 of the Government Cases Act, 2049". (2) Words converted by the Banking Offence and Punishment (Second Amendment) Act, 2082: "bank, financial institution or cooperative bank" in place of "bank or financial institution".